THE CORPORATION OF THE TOWN OF AJAX

BY-LAW NUMBER 27-2023

A By-law to provide for the 2023 annual remuneration for the Mayor and Members of Council of the Town of Ajax.

WHEREAS the *Municipal Act, 2001*, as amended, allows for the payment of remuneration and expenses to members of council and local boards and expenses be deemed as expenses incident to the discharge of their duties;

NOW THEREFORE the Council of the Corporation of the Town of Ajax enacts as follows:

1. **ANNUAL SALARY**

   a. An annual salary shall be paid bi-weekly to each member of Council.
   b. Effective January 1, 2023 the base salary shall be $118,528.00 for the Mayor and $45,357.00 for a Regional and Ward Councillor.
   c. The annual salary paid to members of Council does not include remuneration as a member of any agency, board, commission, corporation, or other similar organization to which the member is appointed.
   d. The annual salary provided to members of Council shall be adjusted annually as per the approved percentage increase established for Exempt non-union employees.
   e. The Deputy Mayor position shall be compensated at an amount of $6,200 per year for the 2022-2026 term of Council. Such remuneration shall be paid bi-weekly and revaluated as part of the comprehensive review at the outset of each term.
   f. Council's salary will be divided by 26 weeks to determine the biweekly pay.

2. **TRAVEL ALLOWANCE**

   a. In addition to annual salary, each member of Council shall be provided an annual travel allowance in accordance with the market median provided to the Council members in Pickering, Whitby, Oshawa and Clarington.
   b. Effective January 1, 2023 the travel allowance shall be $14,897.00 for the Mayor and $9,438.00 for a Regional and Ward Councillor.
   c. Such remuneration shall be paid bi-weekly.

3. **INSURED BENEFITS**

   a. The Town will pay 100% of the premiums to an Insurance Benefit Carrier to provide benefits to members of Council. Enrollment in the Group Benefit Plan is mandatory.
   b. Newly elected members of Council will be enrolled in the Group Benefit Plan effective the first month following the date in which the Councillor is sworn in.
   c. The Group Benefit Plan will consist of extended health, dental coverage, member life insurance, accidental death & dismemberment (AD&D), and long-term disability benefits. Details of the benefit coverage are outlined in the Benefit Booklet for Elected Officials.

d. Benefits (including Retiree and Survivor) and eligibility for benefit coverage are subject to the terms and conditions of any governing master policy of the Benefit Carrier and/or any statutory requirements.
e. HR Services has the authority to add to or amend the Group Benefit Plan as may be required from time to time. In such cases, staff will advise members of Council prior to the change taking effect.

Benefits Over Age 65

a. Members of Council remaining in office after the age of sixty-five (65) shall continue to receive extended health and dental coverage in accordance with the terms and conditions of the benefits plan.
b. Life insurance and AD&D coverage shall be reduced to one times (1x) the member's salary when the member turns sixty-five (65).
c. Life Insurance and AD&D coverage will terminate when the member turns seventy (70) years of age, or when the individual ceases to be a member of Council, whichever occurs first.

Retirement Benefits

a. A member of Council retiring from office between the ages of fifty-five (55) and sixty-four (64) and who have a minimum of fifteen (15) years of continuous service, will be eligible for Basic Health and Basic Dental benefits.
b. This benefit will cease on the last day of the month in which the member attains the age of sixty-five (65).

Survivor Benefits

Where a member of Council dies while holding office, their dependent(s) (meaning eligible dependents) who are listed on the member of Council's benefit plan at the time of death, will continue to receive medical and dental benefits until the earliest of:

a. a period of twenty-four (24) months following the date of death; or
b. until the end of the month in which the eligible spouse turns sixty-five (65) years of age; or
c. until the eligible dependent (if no spouse is listed) no longer qualifies as a "dependent" under the definition of the benefit carrier; or the spouse remarries.

4. **REGISTERED RETIRED SAVINGS PLAN (RRSP)**

a. The Town will contribute 9% of the Mayor's earnings up to the YMPE (year's maximum pensionable earnings) and 14.6% for earnings above the YMPE and 10% for Councillors to their Registered Retired Savings Plan (RRSP) provided the member is eligible to contribute
b. Council members will declare to HR services and provide proper documentation that they have sufficient RRSP room in the year by the first week of January to be eligible for RRSP payments. Contributions can be made on a monthly/bi-weekly basis only to approved RRSP accounts at financial institutions. Alternatively, if payments cannot be directly deposited into an RRSP account, a lump sum payment can be made at the end of the year.
c. The Town's contribution is considered a taxable benefit.

d. A member who is eligible to contribute may do so up to December 31st of the year they turn 71 years of age.
e. A member of Council who is no longer eligible to contribute due to age or as otherwise determined by legislation, shall have 10% paid out to them on the last pay of December.
f. A member of Council who leaves office or dies while in office prior to December 31st, will receive 10% earned as of their last date in office. In the event of death, the monies owed will be paid to the member's estate.
g. Members of Council who participate in the OMERS plan (as per By-law 08-2023), shall not be eligible for an RRSP contribution from the Town. The Town will deduct the required OMERS contribution rate from the member's bi-weekly salary and the Town will match the contribution.

5. SEVERANCE

a. A member of Council with service of a minimum of four (4) consecutive years is eligible to receive severance upon ceasing to be a member by reason of:
   i Election defeat
   ii Resignation or decision to not seek re-election
   iii Dying while in office
b. Severance is payable at the rate of one month per year up of service up to a maximum amount payable of twenty-four (24) months.
c. If eligibility requirements as stated in 5(a) are met, a member of HR Services will contact the elected official to prepare the severance package. Payment will be submitted as soon as practical.
d. Severance may be payable in one lump sum or spread equally over a period not to exceed twenty-four (24) months or any combination of the two payment methods.
e. No member shall be entitled to receive severance who ceases to be a member by reason of, or by resignation which is a result of:
   i Removal from office by judicial process
   ii Disqualification and/or removal from office under operation of any Act of the Parliament of Canada or the Legislature of the Province of Ontario

6. PREGNANCY AND PARENTAL LEAVE

a. Council members are entitled to be compensated in the event of a pregnancy or parental leave in accordance with Town of Ajax Policy 141, "Pregnancy and Parental Leaves for Members of Council."

7. CHANGES TO SALARIES, TRAVEL ALLOWANCES, RRSP CONTRIBUTION AND SEVERENCE PAY

a. HR Services shall conduct a review of the Council Remuneration By-law and report to the General Government Committee within three (3) months following a municipal election to present findings and recommendations.
b. HR Services shall endeavor to maintain an awareness of entitlements provided to Council members in the municipalities of Pickering, Whitby, Oshawa and Clarington, during the intervening years between elections, and if required, present findings and recommendations to the General Government Committee for adjustments to remuneration.

8. **OTHER EXPENSES**

a. Members of Council shall be paid from time to time for expenses incurred in the normal performance of their duties in accordance with Council approved policies.

9. By-law 22-2022 is hereby repealed.

10. This By-law is deemed to come into force and take effect on January 1, 2023

READ a first and second time this Fifteenth day of May, 2023.

READ a third time and passed this Fifteenth day of May, 2023.

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Mayor

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D-Clerk